

U.S. Apparel & Specialty Retail

Nike Inc

Rating

Outperform

Price Target



68.00 USD (72.00 OLD)



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Nike: What does the China reset mean for the business?

Nike is making an aggressive move to reset its China distribution, eliminating partner-operated online sales completely to improve quality and full-price sales. We break down the growth components of the China business to estimate the qualitative and quantitative impact on Nike's business and the broader competitive landscape.

Nike is completely eliminating its Wholesale online business in China, as well as cutting back low-quality DTC online sales. This is not a DTC-focused move, but rather an effort to reduce low-quality online sales (e.g. deep discounts, gray market, third party resellers, etc) to improve brand equity and full-price selling.

We model a low-teens headwind to China growth, but stronger margin recovery. While the inventory liquidations and buy-backs in China are largely done, this move adds another big step-down in sales for FY27: We model a low-teens decline for China, i.e. a 2 ppt drag on total company growth. The offset is stronger China margins from higher quality sales (we model +200 bps in FY27) making double-digit margins more achievable mid-term.

Implications for Nike's business: While we expect some of these lost sales to be recovered by the online DTC business, the majority will be given up. With premium Western brands competing at the high-end and mass domestic brands at the low end, Nike is unlikely to grow above market and recapture lost share: we model growth in-line with the market mid-term following this reset, though with margins improving from the mix shift towards higher quality.

Implications for competitors: Adidas should be the biggest beneficiary, both from online customers shifting their market share, and from higher demand from partners like Topsports and Pou Sheng. Domestic brands will also benefit from Nike walking away from online discounts, continuing to gain market share at the mass/economy price points.

Investment Implications

Cut PT to \$68 from lower China revenue: 27x FY28 EPS of 2.50 (prev 2.67).

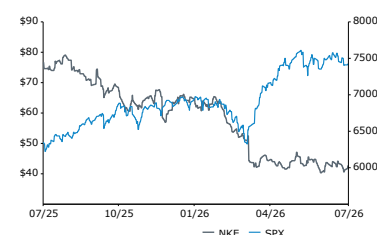
Reported EPS	F26A	F27E	F28E	Financials	F26A	F27E	F28E	CAGR	Valuation Metrics	F26A	F27E	F28E
NKE (USD)	2.10	1.96	2.50	EPS Growth (%)	(3.0)	(6.6)	27.3	--	Reported P/E (x)	20.5	22.0	17.3
OLD	--	2.10	2.67	Gross Margin (%)	42.9	42.1	43.0	--	Div Yield (%)	3.8	3.9	4.0
				Operating Margin (%)	8.2	7.7	9.3	--	EV/EBITDA (x)	14.5	15.5	12.8
				Revenues (M)	46,398	46,088	47,865	--	PEG Adjusted (x)	(6.8)	(3.3)	0.6
									FCF Yield (%)	3.43	6.71	7.20

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	28 Jul 2026
NKE Close Price (USD)	43.05
Price Target (USD)	68.00
Upside/(Downside)	58%
52-Week Range	80.17/40.00
SPX	7,428.78
FYE	May
Div Yield	3.8%
Market Cap (USD) (M)	63,865
EV (USD) (M)	65,871
Performance	YTD 1M 6M 12M
Absolute (%)	(32.4) 5.6 (30.8) (45.7)
SPX (%)	8.5 1.0 6.5 16.3
Relative (%)	(40.9) 4.6 (37.3) (61.9)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

Following media reports over the past several weeks, Nike and its largest China partners, Topsports and Pou Sheng, [confirmed last week](#) that Nike's China business will stop selling through partner-operated online storefronts beginning in January 2027.

In this note, we address Nike's history in China, the actions Nike is currently taking in their China business, the implications for the competitive landscape, and the impact on Nike's financials.

Related Notes:

- [Nike: Key takeaways from Bernstein's Retail Forum](#)
- [Nike Q4: Quality over Quantity](#)
- [Global Sportswear: State of the sector in China](#)
- [Global Sportswear: Is the sector de-rating deserved? A deep-dive into valuation over the next decade](#)
- [The Long View: Global Sportswear - Evolution of the sector over the next decade](#)

CONTEXT

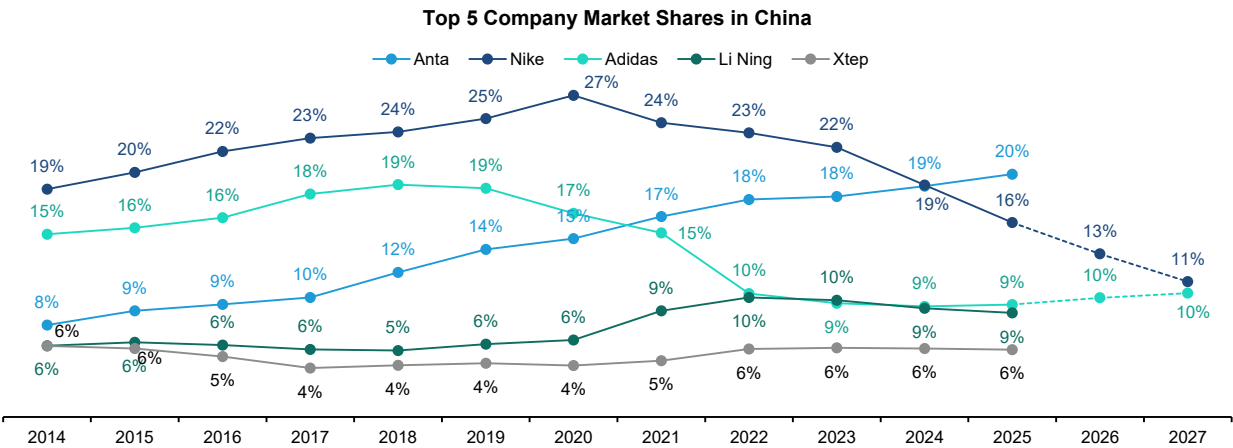
Nike has been losing market share every year since 2020. Nike was one of the earliest international Sportswear brands to establish a presence in the market, entering China in the early 1980s and spending the next several decades building a dominant position and gaining share, mostly coming from domestic brands. Nike and other major international brands together reached a peak of 57% market share in 2020 (Exhibit 2) of which Nike alone was half at 27% (Exhibit 1).

But since then, due to external factors (e.g. the 2021 Xinjiang cotton controversy and 2022-23 COVID-related lockdowns, which disproportionately hurt Western brands that over-indexed to high-tier cities) as well as stronger efforts by domestic brands to gain share, Nike's share of the market gradually declined from 27% to the low-20s.

Then from 2024 onwards, Nike saw sharper declines, driven by specific inventory and clearance issues on major Lifestyle franchises that the brand became over-reliant on, as we have seen across Nike's global markets. Nike undertook a multi-year marketplace cleanup that included buying back inventory from partners, reducing sell-in, liquidating product, and in some cases physically moving inventory out of China into neighboring markets (e.g., Turkey), which resulted in more share losses, down to 16% in 2025.

For more on the broader context of the China market and our views on growth, see our note from June 2026: [Global Sportswear: State of the sector in China](#)

EXHIBIT 1: Nike's share has declined from around 27% at its peak to around 16% in 2025, with much of the pre-COVID share expansion now having been reversed



Source: Euromonitor, Bernstein analysis

EXHIBIT 2: Since 2020, local competitors have steadily taken share from International brands



Source: Euromonitor, Bernstein analysis

CURRENT FOCUS: ONLINE DISTRIBUTION AND MARKETPLACE MANAGEMENT

Franchise management is largely done — the goal is now to rebuild the brand. While Nike's efforts in China have moved slower than other regions — e.g. North America was cleaned up in 2024-25 and has been growing since Summer 2025 — the commentary from Mgmt and from retail channel checks suggest that Nike is now in the final stages of inventory cleanup. Meanwhile, marketplace sell-through trends are now positive, and comp trends at 100+ renovated stores in China are positive (see: [Nike: Key takeaways from Bernstein's Retail Forum](#)).

The next piece of the strategy is around rebuilding the brand. As Cathy Sparks, Nike's VP and GM of Greater China, noted in [her open letter](#) last week, the goal is to return to *"a more premium digital marketplace, a stronger retail experience, more locally created product, and teams empowered closer to the consumer, all working together to deliver a consistent, elevated Nike experience."*

The current focus is online distribution and marketplace management, for both DTC and Wholesale. On the DTC side, Nike Mgmt believes the brand has done too much aggressive discounting on platforms, such as during major online shopping festivals like 6.18 and 11.11, and that the DTC online business needs to restore full-price sell-through by limiting participation in deep promotional events. On the Wholesale side, Nike is trying to crack down on resellers and gray market sales that result in widespread availability of discounted Nike product online, including via secondary distributors and unauthorized channels. This glut of discounted online product has dragged down Nike's brand perceptions in the market, a problem that Mgmt is now focused on fixing.

There are two key actions taking place over the coming quarters:

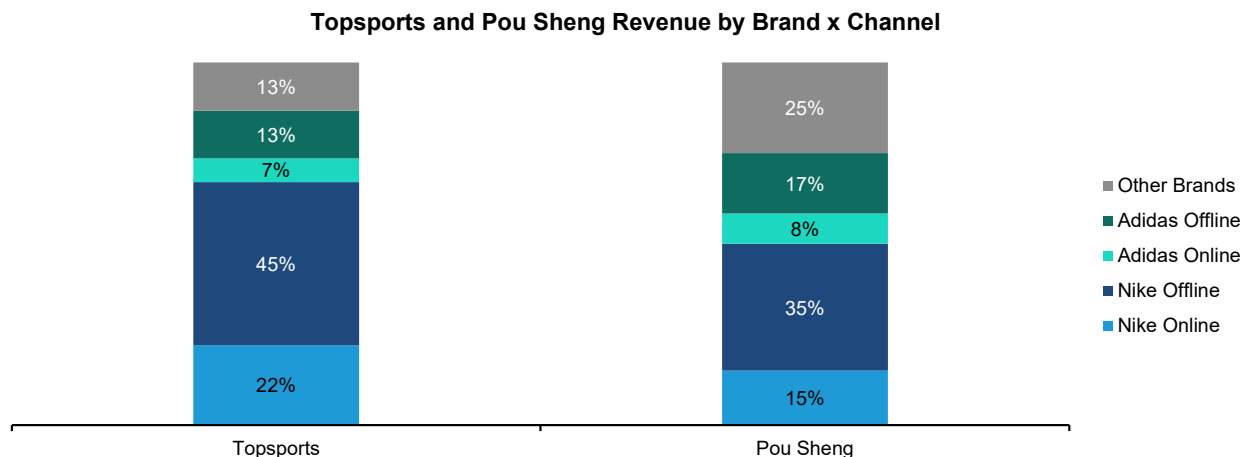
(1) Cutting online sell-in to Wholesale partners: reductions are already underway, so that by January 2027 Nike product will not be sold online by Wholesale partners. Impact will be felt starting Q1 FY27 as per Nike's guidance. We estimate these cuts reach their full run-rate in H2 FY27, with potentially some small second-year impact in H1 FY28 from lapping some early sell-in in H1 FY27.

(2) Trimming Nike's DTC online business to stop participating in discount events: Reductions have already begun as of FY26 and will continue in FY27 — however, there will be some offsetting share shift that will benefit Nike DTC online, from Wholesale online being cut to zero, so on a net basis we expect DTC online to benefit from these changes.

The goal is to concentrate online traffic into fewer, higher-quality touchpoints. Beginning January 2027, Nike's digital presence will be limited to only direct Web/app sales and official Nike flagship stores on key platforms (e.g., Tmall, JD.com, and Douyin), not including partner-operated online storefronts. In explaining the strategy, Sparks emphasized that the objective is not reducing access but rather *"reducing fragmentation and strengthening the consumer journey."* Nike believes these official destinations can provide *"clearer product presentation, stronger storytelling and more connected consumer journeys"* while helping drive greater consistency across the ecosystem.

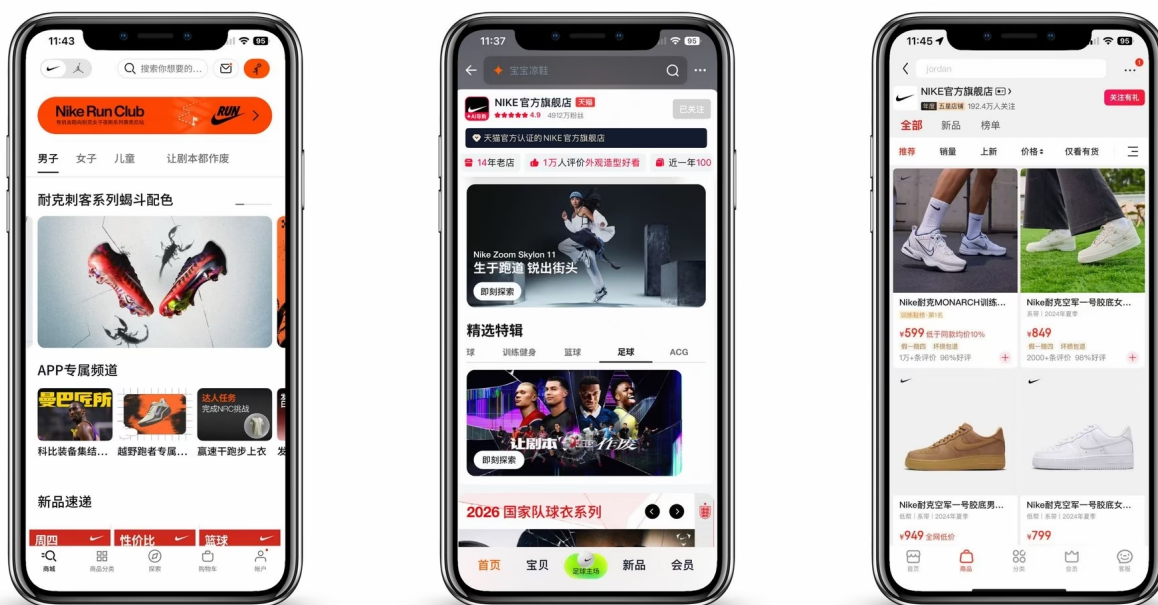
Offline correction currently not being discussed. Nike is investing heavily into offline presence including store renovations and localized retail concepts, but a similar "reset" of the offline footprint is not currently under discussion.

EXHIBIT 3: Nike online represents 22% of Topsports sales and 15% of Pou Sheng sales



Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 4: Nike's China online business will be limited to DTC (web, app) and Nike-operated marketplace presence (e.g. Tmall, Douyin)



Source: Nike

EXHIBIT 5: Refreshed Nike-owned House of Innovation 001 flagship store in Shanghai grew DD% in Q4



Source: Nike

OUR VIEW

IMPLICATIONS FOR NIKE IN CHINA

This is a double-digit growth headwind for the Nike China business, which has already struggled to grow. Using the disclosures from Topsports and Pou Sheng, Nike's two biggest Wholesale partners in China, as well as our estimates of smaller partners, we estimate that Wholesale online accounts for a high-teens percent of Nike's China business currently. This business is being entirely wound down to zero over the next couple of quarters: a \$1b hit to the China business, which already hasn't grown since FY24 (Exhibit 6). Following the clearing of inventory, this reset creates another major near-term headwind for the region, pushing China growth back yet another year.

Growth is the main data point investors need to see to believe in Nike's longevity. While Mgmt has sounded optimistic on margin recovery (even more so now after this China strategy, as the loss of discount online sales will further boost margins), growth has been elusive and the goalpost has been pushed back multiple times. Based on H1 guidance, the China headwind amounts to roughly 200 bps of total company growth (~12% of sales x ~15% decline), which we expect should continue through H2. From an investor sentiment perspective, this further delays Nike's path to top line growth, and with it investor confidence in the longevity and sustainability of the business model.

Some of these Wholesale sales will likely be recovered... but we expect the majority to be given up. The natural consequence of Nike DTC being the only available shopping option on Tmall, JD, Douyin, Taobao and other sites is that Nike's online DTC business should capture some of the sales that would have otherwise gone to Wholesale online partners — therefore, we do expect DTC online to grow as a result. However, if the goal is to stop discounting online and replace with full-price product, we expect that the customer for those discounted goods will not be suddenly willing to pay full-price, but will instead switch to another brand within their price range. As a result, we expect the majority of this online market share to be lost to competitors, with some recouped in the DTC online business.

Can Nike gain back this lost share eventually? We are not expecting it. With premium Western brands competing at the high-end of the price spectrum and domestic competitors at the lower-end of the price spectrum, it seems like Nike is being squeezed in the middle. Even after this reset, we model Nike growing in line with the China market, with some possible upside in terms of share gains depending on the success of the new Lifestyle pipeline coming in CY27 (which should benefit FY28-29 sales) but not going back to "fair share" and recouping the market share that was given up. Longer term, we expect Nike to continue to grow in China but about in-line with the market, not regaining its prior position of market share dominance.

IMPLICATIONS FOR THE COMPETITIVE LANDSCAPE

Adidas is likely the biggest near-term beneficiary. As Nike removes a meaningful amount of discounted product from China's online marketplace, pricing pressure across the category should ease. At the same time, partners such as Topsports and Pou Sheng will need to replace lost Nike online volume, likely resulting in greater emphasis on Adidas product. Given Adidas is already growing DD% in China and seeing strong traction across categories, we view Nike's distribution reset as another incremental tailwind to FY27 growth.

Domestic brands should also benefit, particularly in lower-price and more promotional channels. A portion of the online demand Nike is intentionally walking away from is likely to migrate toward Anta, Li Ning, and other local players. To the extent Nike is prioritizing quality of sales over volume, domestic competitors appear well positioned to absorb some of the demand at the lower-end of the price spectrum previously captured through heavily discounted online channels.

Premium Western brands should largely be unaffected. Brands such as On and Hoka have limited Wholesale exposure in China and do not sell to a wide range of distributors and resellers, so Nike's exit of those distributors should not affect them. Hoka works with Topsports and should expect to see higher demand from this partner; similarly, On works with 1-2 others of Nike's top Wholesale partners. But the gating factor is the brands controlling distribution, not lack of retailer demand, so higher demand should not make much of a difference.

EXHIBIT 6: Greater China sales have been declining since FY25, and we expect declines to persist through FY27

Source: Company disclosures, Bernstein analysis and estimates

ESTIMATED IMPACT TO THE BUSINESS**Overall China impact: large sales headwind, margin tailwind.**

- **Growth: Double-digit decline in FY27, slightly worse in H1 vs. H2 (see Exhibit 6).** Nike has guided to a mid-teens China decline for H1, driven mostly by this lower sell-in associated with the online reset. H2 comparisons are easier, more offline stores will have been renovated, inventory buy-backs will be fully done, and Nike expects a significant wave of new Lifestyle product launches beginning in Spring 2027 (which should help Q4 and then into FY28) so we expect H2 declines to moderate vs. H1.
- **Margins: Strong improvement in FY27.** Margin mix will be positive as a consequence of exiting low-end discounted sales and seeing a share-shift from online Wholesale to online DTC.

China business mix impacts:

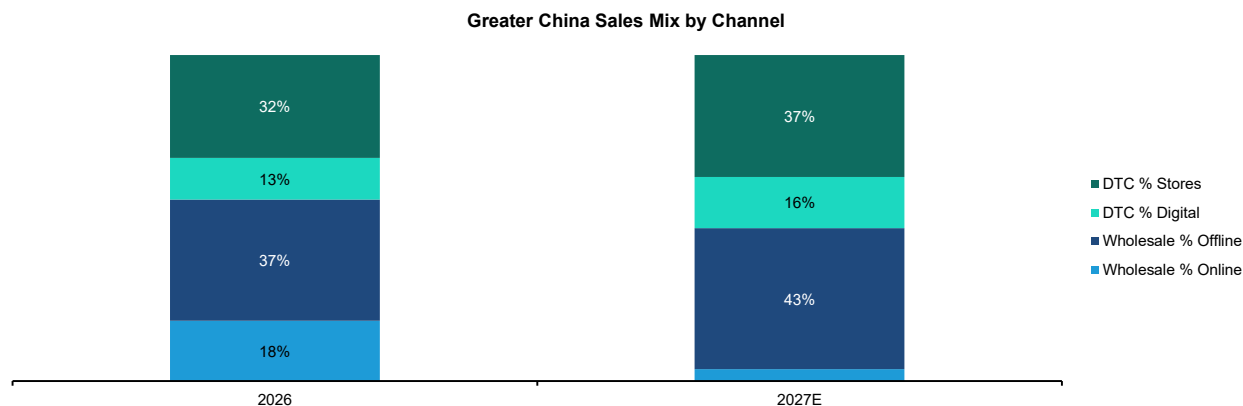
- **Online Wholesale (high-teens % of Nike China sales): Almost -100% growth.** This business will be phased out completely over the next few quarters. We model almost 100% decline in H1, assuming some sell-in has already happened, and a full 100% step-down by H2, as retailers will not be selling Nike product online at all by January 2027.
- **Online DTC: Modest Positive.** Nike intentionally reducing low-quality 3P marketplace sales will take a toll on DTC sales, but the massive cuts in Wholesale should drive some share-shift towards DTC online (which includes Nike.com.cn, Nike App, and official Nike flagship stores on platforms such as Tmall and Douyin). As a result, we expect Online DTC to grow YoY, with a higher-quality product mix and stronger margin profile.
- **Offline Wholesale: Small positive.** We are hearing from Nike's retail partners that Nike buying back inventory (which nets out against sell-in) is now almost done, Wholesale inventories are cleaner, and sell-through is slightly positive. With Nike focusing more on high-quality, full price selling, we also expect the reduction of discounted online inventory to further support full-price offline sell-through.
- **Offline DTC: Modest positive.** Nike noted that remodeled stores (>100 doors including some Wholesale) are comping positive, with additional store renovations underway across many of the 200+ DTC stores. We expect Offline DTC to be the primary driver of growth within the China business.

Model Update

- **Total China declining low-teens % cc in FY27:** We expect China to represent approximately 11% of Nike Brand revenue in FY27, slightly below the 12% in FY26 but far below historical levels of mid-to-high-teens %.

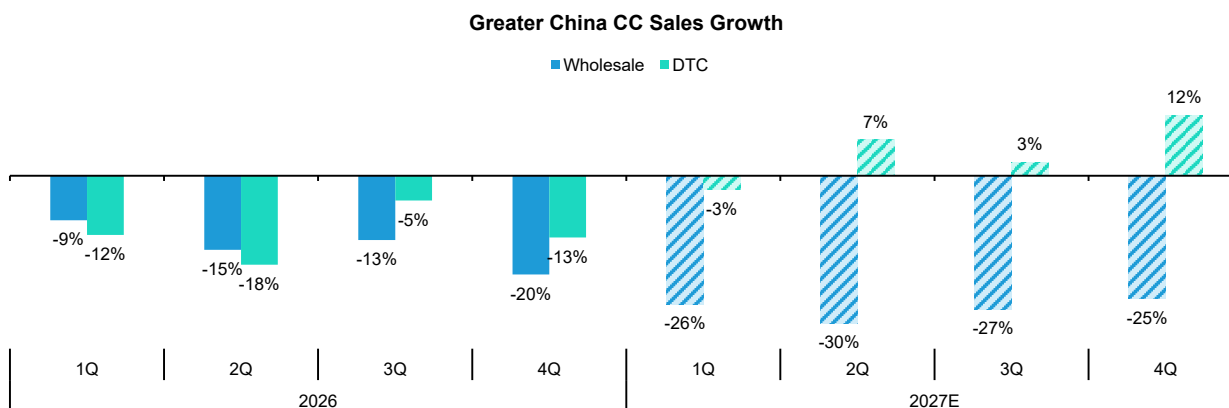
- **China margins improving 200 bps in FY27 to 24%:** Mix shift toward cleaner distribution, higher online DTC vs. Wholesale, better full-price realization, and lower promotional intensity should result in higher profitability. We are meaningfully above Street here (which is modeling ~flat margins YoY). China should account for ~12% of regional operating profit on 11% of sales.
- **MSD% growth for FY28, in line with market.** H1 may be softer as there may be some remaining Wholesale online sales in the prior year (H1 2027) to fully anniversary, but aside from that the online reset should be done, while the store renovations and new product should help boost sales in other parts of the business. We also expect the benefits from local product creation to start to drive faster reaction time in FY28 (not really FY27).

EXHIBIT 7: **We model Online Wholesale (est. high-teens % of Nike China sales in FY26) going to near 0% in FY27**



Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 8: **While we expect DTC to return to growth by Q2, we expect Wholesale to continue to decline DD% through FY27, driven primarily by Online declining ~100%**



Source: Company disclosures, Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 9: Nike Income Statement

Nike Income Statement													
USD in millions, except per share data													
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
Revenue	32,376	34,350	36,397	39,117	37,403	44,538	46,710	51,217	51,362	46,309	46,398	46,088	47,865
Cost of sales	(17,405)	(19,038)	(20,441)	(21,643)	(21,162)	(24,576)	(25,231)	(28,925)	(28,475)	(26,519)	(26,487)	(26,700)	(27,272)
Gross profit	14,971	15,312	15,956	17,474	16,241	19,962	21,479	22,292	22,887	19,790	19,911	19,389	20,593
Gross margin %	46.2%	44.6%	43.8%	44.7%	43.4%	44.8%	46.0%	43.5%	44.6%	42.7%	42.9%	42.1%	43.0%
Demand creation expense	(3,278)	(3,341)	(3,577)	(3,753)	(3,592)	(3,114)	(3,850)	(4,060)	(4,285)	(4,689)	(4,754)	(4,806)	(4,944)
Operating overhead expense	(7,191)	(7,222)	(7,934)	(8,949)	(9,534)	(9,911)	(10,954)	(12,317)	(12,291)	(11,399)	(11,360)	(11,047)	(11,217)
Total selling and administrative expense	(10,469)	(10,563)	(11,511)	(12,702)	(13,126)	(13,025)	(14,804)	(16,377)	(16,576)	(16,088)	(16,114)	(15,853)	(16,161)
Other income / expense, net	140	196	(66)	78	(139)	(14)	181	280	228	76	53	46	48
EBIT	4,502	4,749	4,445	4,772	3,115	6,937	6,675	5,915	6,311	3,702	3,797	3,535	4,433
EBIT margin	13.9%	13.8%	12.2%	12.2%	8.3%	15.6%	14.3%	11.5%	12.3%	8.0%	8.2%	7.7%	9.3%
Interest income / expense, net	(19)	(59)	(54)	(49)	(89)	(262)	(205)	6	161	107	50	48	48
Income before income taxes	4,623	4,886	4,325	4,801	2,887	6,661	6,651	6,201	6,700	3,885	3,900	3,629	4,528
Income tax expense	(863)	(646)	(2,392)	(772)	(348)	(934)	(605)	(1,131)	(1,000)	(666)	(792)	(727)	(883)
Income tax rate	19%	13%	55%	16%	12%	14%	9%	18%	15%	17%	20%	20%	#DIV/0!
Net income from continuing operations	3,760	4,240	1,933	4,029	2,539	5,727	6,046	5,070	5,700	3,219	3,108	2,902	3,645
Earnings per common share													
Basic	2.21	2.56	1.19	2.55	1.63	3.64	3.83	3.27	3.76	2.17	2.10	1.96	2.50
Diluted	2.16	2.51	1.17	2.49	1.60	3.56	3.75	3.23	3.73	2.16	2.10	1.96	2.50
Weighted average common shares outstanding:													
Basic	1,698	1,658	1,624	1,580	1,559	1,573	1,579	1,552	1,518	1,485	1,480	1,480	1,460
Diluted	1,743	1,692	1,659	1,618	1,592	1,609	1,611	1,570	1,530	1,488	1,481	1,480	1,461
Dividends declared per common share	0.62	0.70	0.78	0.86	0.96	1.07	1.19	1.33	1.45	1.57	1.63	1.67	1.71
Dividend payout	28.0%	27.4%	65.5%	33.7%	58.6%	29.4%	31.1%	40.5%	38.6%	72.4%	77.6%	85.2%	68.5%

Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 10: Nike Balance Sheet

Nike Balance Sheet													
USD in millions													
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
Cash, Cash Equivalents, and Short-term Investments	5,457	6,179	5,245	4,663	8,787	13,476	12,997	10,675	11,582	9,151	9,027	10,396	11,208
Accounts Receivable	3,241	3,677	3,498	4,272	2,749	4,463	4,667	4,131	4,427	4,717	5,931	4,798	4,721
Inventories	4,838	5,055	5,261	5,622	7,367	6,854	8,420	8,454	7,519	7,489	7,501	7,534	7,546
Other Current Assets	1,489	1,150	1,130	1,968	1,653	1,498	2,129	1,942	1,854	2,005	2,144	2,074	2,154
Total Current Assets	15,025	16,061	15,134	16,525	20,556	26,291	28,213	25,202	25,382	23,362	24,603	24,802	25,629
Property, Plant and Equipment	3,520	3,989	4,454	4,744	4,866	4,904	4,791	5,081	5,000	4,828	4,796	4,882	4,998
Goodwill and Intangibles	412	422	439	437	497	511	570	555	499	499	499	465	424
Other Non-Current Assets	2,439	2,787	2,509	2,011	5,423	6,034	6,747	6,693	7,229	7,890	8,512	8,296	8,376
Total Non-Current Assets	6,371	7,198	7,402	7,192	10,786	11,449	12,108	12,329	12,728	13,217	13,807	13,643	13,799
Accounts Payable	2,191	2,048	2,279	2,612	2,248	2,836	3,358	2,862	2,851	3,479	3,600	3,511	3,586
Short Term Debt	45	331	342	15	251	2	510	6	1,006	5	2,000	2,000	2,000
Other Current Liabilities	3,122	3,095	3,419	5,239	5,785	6,836	6,862	6,388	6,736	7,082	6,947	6,683	6,845
Total Current Liabilities	5,358	5,474	6,040	7,866	8,284	9,674	10,730	9,256	10,593	10,566	12,547	12,194	12,431
Long Term Debt	2,010	3,471	3,468	3,464	9,406	9,413	8,920	8,927	7,903	7,961	5,942	5,942	5,942
Other Long Term Liabilities	1,770	1,907	3,216	3,347	5,597	5,886	5,390	5,344	5,184	4,839	5,056	4,839	5,026
Total Non-Current Liabilities	3,780	5,378	6,684	6,811	15,003	15,299	14,310	14,271	13,087	12,800	10,998	10,781	10,968
Shareholder's Equity	7,789	8,641	6,387	7,166	8,302	9,968	11,487	12,415	13,412	14,198	15,161	16,135	17,146
Retained Earnings	4,151	3,979	3,517	1,643	(191)	3,179	3,476	1,358	965	(727)	(155)	(524)	(976)
Other	318	(213)	(92)	231	(56)	(380)	318	231	53	(258)	(141)	(141)	(141)
Total Shareholder's Equity	12,258	12,407	9,812	9,040	8,055	12,767	15,281	14,004	14,430	13,213	14,865	15,469	16,029

Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 11: **Nike Cash Flow Statement**

Nike Cash Flow Statement													
USD in millions	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
EBITDA	5,151	5,455	5,192	5,477	3,836	7,681	7,392	6,618	7,107	4,477	4,544	4,249	5,146
Cash from Operations	3,096	3,640	4,955	5,903	2,485	6,657	5,188	5,841	7,429	3,698	2,868	5,073	5,359
Cash from Investing	(1,034)	(1,008)	276	(264)	(1,028)	(3,710)	(1,524)	564	894	(275)	(488)	(719)	(883)
Cash from Financing	(2,671)	(1,942)	(4,835)	(5,293)	2,491	(1,458)	(4,836)	(7,447)	(5,888)	(5,820)	(2,292)	(2,905)	(3,716)
FX impact	(105)	(20)	45	(129)	(66)	143	(143)	(91)	(16)	1	11	0	0
Net decrease / increase in cash and equivalents	(714)	670	441	217	3,882	1,631	(1,315)	(1,133)	2,419	(2,396)	99	1,450	759
Capex (incl. M&A)	1,143	1,105	1,028	1,119	1,086	695	758	969	812	430	684	800	830
% of Sales	3.5%	3.2%	2.8%	2.9%	2.9%	1.6%	1.6%	1.9%	1.6%	0.9%	1.5%	1.7%	1.7%
Free Cash Flow to the Firm (FCFF)	2,857	2,936	1,937	2,804	2,187	5,453	4,902	4,732	6,029	3,813	1,984	3,786	3,633
FCFF per Share	1.64	1.74	1.17	1.73	1.37	3.39	3.04	3.01	3.94	2.56	1.34	2.56	2.49
Dividend per Share	0.62	0.70	0.78	0.86	0.96	1.07	1.19	1.33	1.45	1.57	1.63	1.67	1.71

Source: Company disclosures, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	28 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2026A	2027E	2028E	2026A	2027E	2028E
NKE (Nike)	O	USD	43.05	68.00	(61.9)%	USD	2.10	1.96	2.50	20.5	22.0	17.3
OLD				72.00				2.10	2.67			
SPX			7,428.78									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Nike Inc**

We set a \$68 price target using a P/E multiple of 27x our forward FY2028 EPS estimate of \$2.50

RISKS**Nike Inc**

Downside risks: • Slower growth in Sportswear overall • Slower recovery of Nike in China, and continuing loss of market share • Pressure on margins as a result of inflation, freight, channel costs, or other opex headwinds • Share loss to competitors in key markets including North America • Risk of interruption from concentrated supplier base

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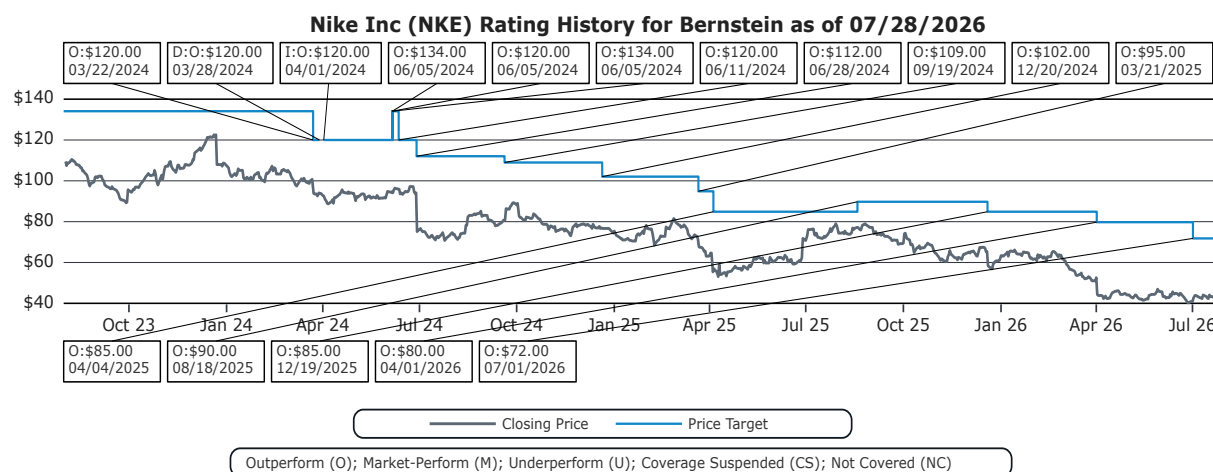
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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